

The Bureau of Energy Efficiency (Form of Annual Statement of Accounts and Records) Rules, 2007

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Union of India - Act

The Bureau of Energy Efficiency (Form of Annual Statement of Accounts and Records) Rules, 2007

UNION OF INDIA

India

The Bureau of Energy Efficiency (Form of Annual Statement of Accounts and Records) Rules, 2007

Rule

THE-BUREAU-OF-ENERGY-EFFICIENCY-FORM-OF-ANNUAL-STATEMENT-OF-ACCOUNTS-AND-RECORDS-RULE
S-2007 of 2007

Published on 28 February 2007

Commenced on 28 February 2007

[This is the version of this document from 28 February 2007.]

[Note: The original publication document is not available and this content could not be verified.]

The Bureau of Energy Efficiency (Form of Annual Statement of Accounts and Records) Rules, 2007

Published vide Notification No. G.S.R. 173(E), dated 28th February, 2007

Ministry of Power

G.S.R. 173(E). - In exercise of the powers conferred by clause (p) of Sub-section (2) of Section 56 and sub-section (1) of Section 25 of the Energy Conservation Act, 2001 (52 of 2001), the Central Government, in consultation with the Comptroller and Auditor-General of India, hereby makes the following rules, namely :-

1.

Short title and commencement.

(1)

These rules may be called the Bureau of Energy Efficiency (Form of Annual Statement of Accounts and Records) Rules, 2007.

(2)

They shall come into force on the date of their publication in the Official Gazette.

2.

Definitions.

(1)

In these rules unless the context otherwise requires,-

(a)

'Act' means the Energy Conservation Act, 2001 (52 of 2001);

(b)

'Audit Officer' means the Comptroller and Auditor General of India or any person appointed by him in connection with the audit of accounts of the Bureau;

(c)

'Bureau' means the Bureau of Energy efficiency constituted under Section 3 of the Act;

(d)

"Director-General" means the Director-General of the Bureau appointed under Section 9 of the Act;

(e)

"Finance and Accounts Officer" means the Finance and Accounts Officer of the Bureau or any other officer authorized to exercise the powers of the Finance and Accounts Officer;

(f)

"Form" means a form appended to these rules;

(g)

"Secretary" means the Secretary of the Bureau of Energy Efficiency appointed under Section 9 of the Act.

(2)

Words and expressions used and not defined in these rules but defined in the Act, shall have the same meanings respectively assigned to them in the Act.

3.

Accounts of the Bureau.

(1)

The Bureau shall prepare the annual statement of accounts for every financial year commencing with 2004-05. The Director-General of the Bureau may authorize the Finance and Accounts Officer to prepare the accounts on his behalf.

(2)

The Secretary of the Bureau shall supervise the maintenance of the accounts of the Bureau, the compilation of financial statement and return, and shall ensure that all accounts, books, connected vouchers and other documents and papers of the Bureau required by the audit officer for the purpose of auditing the accounts of the Bureau are placed at the disposal of that officer.

(3)

The annual statement of accounts duly approved by the Governing Council of the Bureau and after certification by the Comptroller and Auditor General of India or his authorized representative, shall be submitted by the Director-General of the Bureau to the Central Government by 15th November of each year or such other date as may be specified by the Central Government from time to time.

(4)

(a)

The Bureau shall prepare the following financial statements alongwith necessary Schedules, notes on accounts and significant accounting policies in accordance with the common format of financial statements prescribed by the Government of India, Ministry of Finance, Controller General of Accounts, namely :-

(i)

Balance Sheet in Form-A,

(ii)

Income and Expenditure Account in Form-B,

(iii)

Receipt and Payment Account in Form-C.

(b)

The authorized signatories to sign and authenticate the 'Receipts and Payment Account', 'Income and Expenditure Account' and 'Balance Sheet' shall be Finance and Accounts Officer, Secretary and Director-General of the Bureau;

(c)

The Bureau shall prepare these financial statements in accordance with the notes, instructions and accounting policies for compilation of financial statements as detailed in the common format of financial statements and the instruction issued by the Central government from time to time.

4.

Audit of Accounts.

(1)

The Annual statement of accounts shall be submitted to the Audit officer on or before the 30th June, following year to which the accounts relate and the Audit Officer shall audit the accounts of the Bureau and report thereon.

(2)

The Bureau shall, on receipt of the Audit Report, take action to remedy any defect irregularity pointed out therein and submit the Annual Statement of Accounts together with the Audit Report and action taken note thereon to the Governing Council for approval.

(3)

The Annual Statement of Accounts together with the Audit Report and action taken note thereon, duly approved by the Governing Council, shall be included in the Annual Report of the Bureau and submitted to the Central Government by 15th November of each year or such other date as may be specified by the Central Government from time to time.

Form A

[See Rule 3(4)(a)(i)]

Balance Sheet as at 31st March

(Amount Rs.)

Corpus/Capital Fund and Liabilities

Schedule

Current Year

Previous Year

Corpus/Capital Fund

1

-

-

Reserves and Surplus

2

-

-

Earmarked/Endowment Funds

3

-

-

Secured Loans and Borrowings

4

-

-

Unsecured Loans and Borrowings

5

-

-	
Deferred Credit Liabilities	
6	
-	
-	
Current Liabilities and Provisions	
7	
-	
-	
TOTAL	
-	
-	
ASSETS	
Fixed Assets	
8	
-	
-	
Investments-from Earmarked/Endowment Funds	
9	
-	
-	
Investments-Others	
10	
-	
-	
Current Assets, Loans, Advances etc.	
11	
-	
-	
Miscellaneous Expenditure(to the extent not written off or adjusted)	
-	
-	
TOTAL	
-	
-	
Significant Accounting Policies	
25	
Contingent Liabilities and Notes on Account	
26	
Form B	
[See Rule 3(4)(a)(II)]	
Income and Expenditure Account for the Year ended 31st March (Amount Rs.)	
INCOME	
Schedule	
Current Year	
Previous Year	
Income from Sales/Services	
12	
-	

-

Grants/Subsidies

13

-

-

Fees/Subscriptions

14

-

-

Income from Investments(Income on Investment from
earmarked/endowment funds transferred to funds)

15

-

-

Income from Royalty, Publication etc.

16

-

-

Interest Earned

17

-

-

Other Income

18

-

-

Increase/(decrease) in stock of finished goods and
works-in-progress

19

-

-

TOTAL (A)

-

-

EXPENDITURE

Establishment Expenses

20

-

-

Other Administrative Expenses etc.

21

-

-

Expenditure on Grants, Subsidies etc.

22

-

-

Interest

23

-

-

Testing

24

-

-

Depreciation (Net total at the year end corresponding to schedule 8)

-

-

TOTAL (B)

-

-

Balance being excess of Income over Expenditure (A-B)

Transfer to Special Reserve (Specify each)

-

-

Transfer to/from General Reserve

-

-

BALANCE BEING SURPLUS/(DEFICIT) CARRIED TO CORPUS/CAPITAL FUND

-

-

SIGNIFICANT ACCOUNTING POLICIES

25

CONTINGENT, LIABILITIES AND NOTES ON ACCOUNTS

26

Form C

[See Rule 3(4)(a)(iii)]

Receipts and Payments for the Year Ended 31st March

(Amount - Rs.)

RECEIPTS

Current year

Previous year

PAYMENTS

Current Year

Previous Year

1

2

3

4

5

6

I. Opening Balances

-

-

I. Expenses

(a) Cash in Hand

(a) Establishment Expenses (Corresponding to Schedule 20)

-

-

(b) Bank Balances

(b) Administrative Expenses (Corresponding to Schedule 21)

-
-

(i) In current accounts

-
-

(ii) In deposit accounts

-
-

(iii) Saving accounts

-
-

II. Grants Received

II. Payment made against funds for various projects

-
-

(a) From Government of India

-
-

(Name of the fund or project should be shown along with the particulars of payments made for each project)

(b) From State Government

-
-

(c) From other sources (details) (Grants of capital & revenue expenditure to be shown separately)

-
-

III. Income on Investments from

III. Investments and deposits made

(a) Earmarked/Endowment Funds

-
-

(a) Out of Earmarked/Endowment funds

-
-

(b) Own Funds (Other Investment)

-
-

(b) Out of Own Funds (Investment-Others)

-
-

IV. Interest Received

IV. Expenditure on Fixed Assets & Capital

Work-in-Progress

(a) On Bank deposits

-
-

(a) Purchase of Fixed Assets

-
-

(b) (Loans, Advances etc.)

-

-

(b) Expenditure on capital work-in-Progress

-

-

V. Other Income (Specify)

-

-

V. Refund of surplus money/loans

-

-

a) To the Government of India

-

-

b) To the State Government

-

-

c) To other providers of funds

-

-

VI. Amount Borrowed

-

-

VI. Finance charges (Interest)

-

-

VII. Any other receipts (give details)

-

-

VII. Other Payments (Specify)

-

-

VIII. Closing Balances

-

-

a) Cash in Hand

-

-

b) Bank Balances

i) In current accounts

-

-

ii) In deposit accounts

-

-

iii) Saving accounts

-

-

Total

-

-
Total
-
-
Forming Part of Balance Sheet as at 31st March
(Amount ? Rs.)
SCHEDULE 1 - CORPUSFUND/CAPITAL FUND
Current Year
Previous Year
Balance as at the beginning of the year
-
-
Add: Contributions towards Corpus
Capital Fund
-
-
Add/(Deduct): Balance of net
income/(expenditure) transferred from the Income and Expenditure
Account
-
-
-
BALANCE AS AT THE YEAR-END
-
-
SCHEDULE 2 - RESERVES AND SURPLUS
1. Capital Reserve :
-
-
As per last Account
(-)
-
(-)
-
Addition during the year
-
-
Less: Deductions during the year
-
-
2. Revaluation Reserve :
(-)
-
(-)
-
As per last Account
-
-
Addition during the year
-
-

Less: Deductions during the year

(-)

-

(-)

-

3. Special Reserves:

-

-

As per last Account

-

-

Addition during the year

(-)

-

(-)

-

Less: Deductions during the year

4. General Reserve :

As per last Account

-

-

Addition during the year

-

-

Less: Deductions during the year

(-)

-

(-)

-

TOTAL

-

-

(Amount-Rs.)

SCHEDULE 3 - EARMARKED/ENDOWMENT FUNDS

FUND-WISE BREAKUP

TOTALS

Fund WW

Fund XX

Fund YY

Fund ZZ

Current Year

Previous Year

(a) Opening balance of the funds

-

-

-

-

-

-

(b) Additions to the Funds :

i. Donations/grants

-
 ii. Revenue Expenditure
 - Salaries, wages and allowances
 etc.

-
 -
 -
 -
 -
 -
 -
 - Rent

-
 -
 -
 -
 -
 -
 - Other Administrative expenses

-
 -
 -
 -
 -
 -

Total

-
 -
 -
 -
 -
 -

TOTAL (c)

-
 -
 -
 -
 -
 -

NET BALANCE AS AT THE YEAR END
 (a+b+c)

-
 -
 -
 -
 -
 -

Notes. - (1) Disclosures shall be made under relevant heads based on conditions attaching to the grants.

(2)

Plan Funds received from the Central/State Governments are to be shown as separate Funds and not to be mixed up with an other Funds.

(Amount-Rs.)

SCHEDULE 4 - SECURED LOANS AND BORROWINGS

Current Year

Previous Year

1.

Central Government

-

-

2.

State Government (Specify)

3.

Financial Institutions

(a) Terms Loans

-

-

(b) Interest Accrued and due

-

-

4.

Banks:

(a) Term Loans

-

-

-Interest accrued and due

-

-

(b) Other Loans (Specify)

-

-

-Interest accrued and due

-

-

5.

Other Institutions and Agencies

-

-

6.

Debentures and Bonds

-

-

7.

Others (Specify)

-

-

TOTAL

-

-

Note: Amount due within one year.

(Amount. Rs.)

SCHEDULE 5 - UNSECURED LOANS AND BORROWINGS

Current Year

Previous Year

1.
Central Government
-
-
2.
State Government (Specify)
-
-
3.
Financial Institutions
-
-
4.
Banks:
(a) Terms Loans
-
-
(b) Other Loans (Specify)
-
-
5.
Other Institutions and Agencies
-
-
6.
Debentures and Bonds
-
-
7.
Fixed Deposits
-
-
8.
Others (Specify)
-
-
- TOTAL
-
-

Note: Amounts due within one year.

SCHEDULE 6 - DEFERRED CREDIT LIABILITIES

Current Year

Previous Year

(a) Acceptances secured by
hypothecation of capital equipment and other assets
-
-

(b) Others
-
-

TOTAL

-

-

Note: Amounts due within one year.

(Amount-Rs.)

SCHEDULE 7 - CURRENT LIABILITIES AND PROVISIONS

Current Year

Previous

A. CURRENT LIABILITIES

1.

Acceptances

-

-

2.

Sundry Creditors:

(a) For Goods

-

-

(b) Others

-

-

3.

Advances Received

-

-

4.

Interest accrued but not due on

(a) Secured Loans/borrowings

-

-

(b) Unsecured Loans/borrowings

-

-

5.

Statutory Liabilities:

(a) Overdue

-

-

(b) Others

-

-

6.

Other current Liabilities

-

-

TOTAL (A)

-

-

B. PROVISIONS

1.

For Taxation

-

-

2.

Gratuity

-

-

3.

Superannuation/Pension

-

-

4.

Accumulated Leave Encashment

-

-

5.

Trade Warranties/Claims

-

-

6.

Others (Specify)

-

-

TOTAL (B)

-

-

TOTAL (A+B)

-

-

Forming Part of Balance Sheets as at 31st March, 2007

(Amount-Rs.)

SCHEDULE 8 ? FIXED ASSETS BLOCK

GROSS BLOCK

DEPRECIATION

NET

Description

Cost/valuation as at beginning of the
year

Additions during the year

Deduction during the year

Cost/valuation at the year-end

As at beginning of the year

Depreciation

during _____ the year

Total up to the year end

As at the current year-end

As at the Previous year-end

Other than grant-in-kind assets

On assets (grants-in-kind)[effect
shown in balance-sheet

A. FIXED ASSETS :

1.

LAND

(a) Freehold

-
-

(-)

-
-
-
-
-
-
-
-

(b) Leasehold

-
-

(-)

-
-
-
-
-
-
-

2.

BUILDINGS

(a) On Free Hold Land

-
-

(-)

-
-
-
-
-
-
-

(b) On Leasehold Land

-
-

(-)

-
-
-
-
-
-
-

(c) Ownership Flats/Premises

-
-

(-)

-

-
-
-
-
-
-

(d) Superstructures on Land not belonging to the entity

-
-
(-)

-
-
-
-
-
-
-

3.
PLANT MACHINERY & EQUIPMENT

-
-
(-)

-
-
-
-
-
-
-

4.
VEHICLES

-
-
(-)

-
-
-
-
-
-
-

5.
FURNITURE, FIXTURES

-
-
(-)

-
-
-
-

-
-
-

6.
OFFICE EQUIPMENT

-
-
(-)

-
-
-
-
-
-
-
-

7.
COMPUTER/SOFTWARE/PERIPHERALS

-
-
(-)

-
-
-
-
-
-
-

8.
ELECTIC INSTALLATIONS

-
-
(-)

-
-
-
-
-
-
-

9.
LIBRARY BOOKS

-
-
(-)

-
-
-
-
-
-
-

10.

TUBEWELLS & W. SUPPLY

-
-

(-)

-
-
-
-
-
-
-
-
-

11.

OTHER FIXED ASSETS

-
-

(-)

-
-
-
-
-
-
-
-

TOTAL OF CURRENT YEAR

-
-

(-)

-
-
-
-
-
-
-
-

PREVIOUS YEAR

-
-

(-)

-
-
-
-
-
-
-
-

B. CPAITAL WORK-IN-PROGRESS

-
-

TOTAL

-

-
Note to be given as to cost of assets on hire purchaser basis included above.
(Amount Rs.)

SCHEDULE 9 - INVESTMENTS FROM EARMARKED/ENDOWMENT FUND

Current Year

Previous Year

1.
In Government Securities

-
-

2.
Other approved Securities

-
-

3.
Shares

-
-

4.
Debentures and Bonds

-
-

5.
Subsidiaries and Joint Ventures

-
-

6.
Others (to be specified)

-
-

TOTAL

-
-

SCHEDULE 10 - INVESTMENTS OTHERS

Current Year

Previous Year

1.
In Government Securities

-
-

2.
Other Approved Securities

-
-

3.
Shares

-
-

4.
Debentures and Bonds

-

-

5.

Subsidiaries and Joint Ventures

-

-

6.

Others (to be specified.)

-

-

TOTAL

-

-

(Amount-Rs.)

SCHEDULE 11 - CURRENT ASSETS, LOANS, ADVANCES ETC.

Current Year

Previous Year

A. CURRENT ASSETS

1.

Inventories

(a) Stores and Spares

-

-

(b) Loose Tools

-

-

(c) Stock-in-trade

Finished Goods

-

-

Work-in-progress

-

-

Raw Materials

-

-

-

-

2.

Sundry Debtors

(a) Debts Outstanding for a period exceeding six months

-

-

(b) Others

-

-

-

-

3.

Cash balances in hand (including cheques/drafts and imprest)

-

-

4.

Bank Balances

(a) With Scheduled Banks

-On Current Accounts

-

-

-On deposit Accounts (includes
margin money)

-

-

-On Savings Accounts

-

-

-

-

(b) With Non-Scheduled Banks

-On Current Accounts

-

-

-On deposit Accounts (includes
margin money)

-

-

-On Savings Accounts

-

-

-

-

5.

Post Officer-Savings Accounts-

-

-

TOTAL (A)

-

-

(Amount-Rs.)

SCHEDULE 11 - CURRENT ASSETS, LOANS, ADVANCES ETC.

(Contd.)

Current Year

Previous Year

B. LOANS, ADVANCES AND DOTHER ASSETS

1.

Loans

(a) Staff

-

-

(b) Other Entities engaged in
activities/objectives similar to that of the Entity

-

-

(c) Other (specify)

-
-
-
-
2.

Advances and other amounts recoverable in cash or in kind or
for value to be received

(a) On Capital Account

-
-

(b) Prepayments

-
-

(c) Others

-
-
-
-

3.

Income Accrued

(a) On Investments from

Earmarked/Endowment Funds

-
-

(b) On Investments-Others

-
-

(c) On Loans and Advances

-
-

(d) Others

-
-
-
-

(includes income due
unrealised-Rs.)

4.

Claims Receivable

-
-

TOTAL (B)

-
-

TOTAL (A+B)

-
-

(Amount-Rs.)

SCHEDULE 12 - INCOME FROM SALES/SERVICES

Current Year

Previous Year

1.

Income from Sales

(a) Sales of Finished Goods

-

-

(b) Sale of Raw Material

-

-

(c) Sale of Scraps

-

-

2.

Income from Services

-

-

(a) Labour and Processing Charges

-

-

(b) Professional/Consultancy
Service

-

-

(c) Agency Commission and
Brokerage

-

-

(d) Maintenance Services
(Equipment/Property)

-

-

(e) Others (specify)

-

-

TOTAL

-

-

(Amount-Rs.)

SCHEDULE 13 - GRANTS/SUBSIDIES

Current Year

Previous Year

(Irrevocable Grants and Subsidies received)

1.

Central Government

-

-

2.

State Government(S)

-

-

3.

Government Agencies

-

-

4.

Institutions/welfare Bodies

-

-

5.

International Organisations

-

-

6.

Others (specified)

-

-

TOTAL

-

(Amount-Rs.)

SCHEDULE 14 - FEES/SUBSCRIPTIONS

Current Year

Previous Year

1.

Entrance Fees

-

-

2.

Annual Fees/subscriptions

-

-

3.

Seminar/program Fees

-

-

4.

Consultancy Fees

-

-

5.

Others (specify)

-

-

TOTAL

-

-

Note: Accounting Policies towards each item are to be disclosed.

(Amount-Rs.)

SCHEDULE 15 - INCOME FROM

INVESTMENTS

Investment form

Earmarked fund

Investment-Others

||-

Current Year

Previous Year

Current Year

Previous Year

(Income on Investment from Earmarked/Endowment Funds
transferred to Funds)

1.

Interest

(a) On Govt. Securities

-

-

-

-

(b) Other Bonds (Debentures)

-

-

-

-

2.

Dividends

(a) On Shares

-

-

-

-

(b) On Mutual Fund Securities

-

-

-

-

3.

Rents

-

-

-

-

4.

Others (Specify)

-

-

-

-

TOTAL

-

-

-

-

Transferred to Earmarked/Endowment Funds

-

-

-

-
(Amount-Rs.)
SCHEDULE 16 - INCOME FROM ROYALTY, PUBLICATION ETC.
Current Year
Previous Year
(a) Income from Royalty
-
-
(b) Income from Publications
-
-
(c) Others (Specify)
-
-
TOTAL
-
-

(Amount-Rs.)
SCHEDULE 17 - INTEREST EARNED
Current Year
Previous Year
1.
On Term Deposits
-
-
(a) With Scheduled Banks
-
-
(b) With Non-Scheduled Banks
-
-
(c) With Institutions
-
-
(d) Others
-
-
2.
On Savings Accounts
(a) With Scheduled Banks
-
-
(b) With Non-Scheduled Banks
-
-
(c) Post Officer Savings Accounts
-
-
(d) Others
-
-

3.

On Loans

(a) Employees/staff

-

-

(b) Others

-

-

4.

Interest On Debtors And Other Receivables

TOTAL

-

-

Note: Tax deducted at source to be indicated

(Amount-Rs.)

SCHEDULE 18 - OTHER INCOME

Current Year

Previous Year

1.

Profit on sale/disposal of Assets

-

-

(a) Owned assets

-

-

(b) Assets acquired out of grants, or received free of cost

-

-

2.

Export incentives realized

-

-

3.

Fees For Miscellaneous Services

-

-

4.

Miscellaneous Income

-

-

TOTAL

-

-

SCHEDULE 19 - INCREASE/DECREASE IN STOCK OF FINISHED GOODS
& WORK IN PROGRESS

Current Year

Previous Year

(a)

Closing Stock

- Finished Goods

-

-
 - Work-in-progress
 -
 -
 (b)
 Less : Operating stock

-
 -
 - Finished Goods
 -
 -
 - Work-in-progress
 -
 -

Net Increase/Decrease [a+b]

-
 -

(Amount-Rs.)

SCHEDULE 20 - ESTABLISHMENT EXPENSES

Current Year

Previous Year

(I & E)

(R & P)

(I & E)

(R & P)

(a) Salaries and Wages

-
 -
 -
 -

(b) Allowances and Bonus

-
 -
 -
 -

(c) Contribution to Provident Fund

-
 -
 -
 -

(d) Contribution to Other Fund (Specify)

-
 -
 -
 -

(e) Staff Welfare Expenses

-
 -
 -
 -

(f) Expenses on Employees Retirement and Terminal Benefits

-
-
-
-

(g) Others (specify)

-
-
-
-

TOTAL

-
-
-
-

(Amount-Rs.)

SCHEDULE 21 - OTHER ADMINISTRATIVE EXPENSES

Current Year

Previous Year

||-

(I & E)

(R & P)

(I & E)

(R & P)

(a) Purchases

-
-
-
-

(b) Labour and Processing Expenses

-
-
-
-

(c) Cartage and Carriage Inwards

-
-
-
-

(d) Electricity and Power

-
-
-
-

(e) Water Charges

-
-
-
-

(f) Insurance

-
-

-

-

(g) Repairs and Maintenance

-

-

-

-

(h) Excise Duty

-

-

-

-

(i) Rent, Rates and Taxes

-

-

-

-

(j) Vehicle Running and Maintenance

-

-

-

-

(k) Postage, Telephone & Communication Charges

-

-

-

-

(l) Printing & Stationary

-

-

-

-

(m) Travelling and Conveyance Expenses

-

-

-

-

-Overseas Committee

-

-

-

-

-Officers & Staff Members

-

-

-

-

-Committee Members

-

-

-

-

(n) Expenses on Seminars

-

-

-

-

(o) Subscription Expenses

-

-

-

-

(p) Expenses on Fees

-

-

-

-

(q) Auditor Remuneration

-

-

-

-

(r) Hospitality Expenses

-

-

-

-

(s) Professional Charges

-

-

-

-

(t) Provision for Bad and Doubtful Debts/Advances

-

-

-

-

(u) Irrecoverable Balances Written-off

-

-

-

-

(v) Packing Charges

-

-

-

-

(w) Freight and Forwarding Expenses

(x) Distribution Expenses

-

-

-

-

(y) Advertisement and Publicity

-

-

-

-

(z) Others (specify)

-

-

-

-

TOTAL

-

-

-

-

(Amount-Rs.)

SCHEDULE 22 - EXPENDITURE ON GRANT SUBSIDIES ETC.

Current Year

Previous Year

(a) Grants given to Institutions/Organisations

-

-

(b) Subsidies given to Institutions/Organisations

-

-

TOTAL

-

-

Note - Name of the Entities along with the amount of Grants/Subsidies are to be disclosed.

(Amount-Rs.)

SCHEDULE 23 - INTEREST

Current Year

Previous Year

(a) On Fixed Loans

-

-

(b) On Other Loans

-

-

(c) Other (specify)

-

-

TOTAL

-

-

SCHEDULE 24 - EXPENDITURE ON TESTING

Current Year

Previous Year

(a) Testing fee paid to outside laboratories

-

-

(b) Market Samples

-

-

(c) Laboratory apparatus and stores

-

-

TOTAL

-

-

Forming Part of the Accounts for the Year Ended as at 31st March

25 - Significant Accounting Policies (Illustrative)

1. Accounting Convention

The financial statements are prepared on the basis of historical cost convention unless otherwise stated and on the accrual method of accounting.

2. Inventory Valuation

2.1

Stores and Spares (including machinery spares) are valued at cost.

2.2

Raw materials, semi-finished goods and finished goods are valued at lower of cost and net reliable value. The cost are based on weighted averaged cost. Cost of finished goods and semi-finished goods is determined by considering material, labour and related overheads.

3. Investments

3.1

Investments classified as "long terms investment" are carried at cost. Provision for decline other than temporary, is made in carrying cost of such investment.

3.2

Investment classified as "current" are carried at lower of cost and fair value. Provision for shortfall on the value of such investments is made for each investment considered individually and not on a global basis.

3.3

Cost includes acquisition expenses like brokerage, transfer stamps.

4. Excise Duty

Liability for excise duty in respect of goods produced by the entity, other than for exports, is accounted upon completion of manufacture and provision is made for excisable manufactured goods as at the year-end.

5.

Fixed Assets

5.1

Fixed Assets are stated at cost of acquisition inclusive of inward freight, duties and taxes and incidental and direct expenses related to acquisition. In respect of projects involving construction, related pre-operational expenses (including interest on loans for specific project prior to its completion), form part of the value of the assets capitalized.

5.2

Fixed Assets received by way of non-monetary grants (other than towards the Corpus Fund), are capitalized at value stated, by corresponding credit to Capital Reserve.

6.

Depreciation

6.1

Depreciation is provided on straight-line method as per rates specified in the Income Tax Act, 1961 except depreciation on cost adjustments arising on account of conversion of foreign currency, liabilities of fixed assets, which is amortized over the residual life of the respective assets.

6.2

In respect of additions to/deductions from fixed assets during the year, depreciation is considered on prorata basis.

6.3

Assets costing Rs. 5,000 or less each are fully provided.

7.

Miscellaneous Expenditure

Deferred revenue expenditure is written off over a period of 5 years from the year it is incurred.

8.

Accounting for Sales

Sales include excise duty and are net of sales returns, rebate and trade discount.

9.

Government Grants or Subsidies

9.1

Government grants of the nature of contribution towards capital cost of setting up projects are treated as Capital Reserve.

9.2

Grants in respect of specific fixed assets acquired are shown as a deduction from the cost of the related assets.

9.3

Government grants/subsidy are accounted on realization basis.

10.

Foreign Currency Transactions

10.1

Transactions denominated in foreign currency are accounted at the exchange rate prevailing at the date of the transactions.

10.2

Current assets, foreign currency loans and current liabilities are converted at the exchange rate prevailing as at the year end and the resultant gain/loss is adjusted to cost of fixed assets, if the foreign currency liability relates to fixed assets, and in other cases is considered to revenue.

11.

Lease

Lease rentals are expensed with reference of lease terms.

12.

Retirement Benefits

12.1

Liability towards gratuity payable on death/retirement of employees is accrued based on actuarial valuation.

12.2

Provision for accumulated leave encashment benefit to the employees is accrued and computed on the assumption that employee are entitled to receive the benefit as at each year end.

1. Contingent Liabilities

1.1

Claims against the Entity not acknowledged as debts Rs _____ (Previous year Rs _____)

1.2

In respect of Bank guarantee given by/on behalf of the Entity Rs _____ (Previous year Rs _____) Letters of Credit opened by Bank on behalf of the Entity Rs _____ (Previous year Rs _____)

Bills discounted with Banks Rs _____ (Previous year Rs _____)

1.3

Disputed demands in respect of:

Income Tax Rs _____ (Previous year Rs _____)

Sales Tax Rs _____ (Previous year Rs _____)

Income Taxes Rs _____ (Previous year Rs _____)

1.4

In respect of claims from parties for non-execution of orders but contested by the Entity
Rs_____ (Previous year Rs_____)

2. Capital Commitments

Estimated value of contractor remaining to be executed on capital account and not provided for (net of advances)
Rs_____ (Previous year Rs_____)

3. Lease Obligations

Future obligations for rentals under finance lease arrangements for plant and machinery amount to
Rs_____ (Previous year Rs_____)

4. Current Assets, Loans and Advances

In the opinion of the Management, the current assets, loan and advances have a value on realization in the ordinary course of business, equal at least to the aggregate amount shown in the Balance Sheet.

5. Taxation

In view of there being no taxable income under Income Tax Act, 1961, no provision for Income Tax has been considered necessary.

6. Foreign Currency Transactions

(Amount Rs.)

Current year

Previous Year

6.1

Value of imports calculated on C.I.F. Basis

- Purchase of finished goods
- Raw materials & components (including in transit)
- Capital Goods
- Stores, Spares and Consumables

6.2

Expenditure in foreign currency

a) Travel

b) Remittances and Interest payment to Financial Institutions/Banks in Foreign Currency

c) Other expenditure

- commission on Sales
- Legal and professional expenses
- Miscellaneous Expenses

6.3

Earnings

Value of Exports on FOB basis

6.4

Remuneration to auditors

As Auditors

- Taxation matters
- For Management services
- For certificate

Others

7. Corresponding figures for the previous year have been regrouped rearranged/wherever necessary.

8. Schedules 1 to 26 are annexed to and form an integral part of the balance sheet as at_____ and the Income and Expenditure Account or the year ended on that date.

Notes, Instructions and Accounting Principles for Compilation of Financial Statements

(1)

The financial statements (viz, Balance Sheet and Income and Expenditure Account) shall be prepared on accrual basis; and shall be in the form suggested, or as near thereto as possible.

If the information required to be given under any of the item or sub-item in this Form cannot be conveniently included in the Balance Sheet or the Income and Expenditure account itself, as the case may be, it can be furnished in a separate

Schedule or Schedules to be annexed to and forming part of the Balances Sheet or the Income and expenditure Account. This is recommended where items are numerous.

(2)

A statement of all significant accounting policies adopted in the preparation of the Balance Sheet and the Income and Expenditure Account shall be included in the financial statements, and the significant Accounting Policies should be disclosed at one place. Accounting Policies refer to the specific accounting principles and the method of applying those principles adopted by the Entity in the preparation of the financial Statements. Where any of the accounting policies is not in conformity with accounting standards, and the effect of departures from accounting standards is material, the particulars of the departure shall be disclosed, together with the reasons therefor and the financial effect thereof, except where such effect is not ascertainable.

(3)

Accounting policies shall be applied consistently from one financial year to the next. Any change in the accounting policies which has a material effect in the current period or which is reasonably expected to have a material effect in latter periods, shall be disclosed. In case of change in accounting policies which has a material effect in the current period, the amount by which any item in the financial statements is effected by such change shall also be disclosed to the extent ascertainable. Where such amount is not ascertainable, wholly or in part, the fact shall be disclosed.

(4)

The accounting treatment and presentation in the Balance Sheet and the Income and Expenditure Account of transactions and events shall be governed by their substance and not merely by the legal form.

(5)

In determining the accounting treatment and manner of disclosure of an item in the Balance Sheet and/or the Income and Expenditure Account, due consideration shall be given to the concept of materiality.

(6)

Provision shall be made for all known liabilities and losses even though the amount cannot be determined with substantial accuracy (and the amount of provision represents only a best estimate in the light of available information.)

'Provision' means any amount written off or retained by way of providing the depreciation, renewals or diminution in value of assets, or retained by way of providing for any known liability, the amount of which cannot be determined with substantial accuracy.

Provisions shall be made for contingent loss if :

(a)

it is probable that future events will confirm that, after taking into account any related probable recovery, an asset has been impaired or a liability has been incurred at the balance sheet date, and

(b)

a reasonable estimate of the amount of the resulting loss can be made.

If either of the above conditions is not met, the existence of the contingent loss shall be disclosed by way of a note to the Income and Expenditure account, unless the possibility of the loss is remote.

7. Where any amount written off or retained by way of depreciation, renewals or diminution in the value of assets or retained by way of providing for any known liability is in excess of the amount which is considered reasonably necessary for the purpose, the excess shall be treated as a reserve and not as a provision.

8. Revenue shall not be recognized unless :

(a)

the related performance has been achieved;

(b)

no significant uncertainty exists regarding the amount of the consideration; and

(c)

it is not unreasonable to expect realisation and ultimate collection.

9. Separate disclosure shall be made in the Income and Expenditure Account in respect of :

(a)

"Prior period" items, which comprise material item of income or expenses which arise in the current period as a result of errors or omissions in the preparation of the financial statements of one or more prior periods.

(b)

"Extra-ordinary" items which are material items of income or expenses that arise from events or transactions that are clearly distinct from the ordinary activities of the entity and, therefore, are not expected to recur frequently or regularly.

(c)

Any item under the head "Miscellaneous Expenses" which exceeds 1 per cent of the total turnover gross income of entity or Rs. 50,000/- whichever is higher. This shall be shown against an appropriate account head in the Income and Expenditure Account.

(d)

Any item under the head "Miscellaneous Expenses" which exceeds 1 per cent of the total turnover gross income of entity or Rs. 50,000/- whichever is higher. This shall be shown as a separate and distinct item against an appropriate account head in the Income and Expenditure Account.

(10)

The Schedules referred to in the form, the account in policies and explanatory notes shall form an integral part of the financial statements.

(11)

Notes to the Balance Sheet and the Income and expenditure Account shall contain the Explanatory material pertaining to the items in the Balance Sheet and the Income and Expenditure Account.

(12)

The figure in the Balance Sheet and Income and expenditure Account, if rounded off, shall be rounded off as below:

Amount of turnover (in Rs.)

Rounding off to (Rs.)

Less than One lakh

Hundred

One lakh or more but less than one crore

Thousand

One crore or more but less than one hundred crore

Lakh

One hundred or more but less than on thousand crore

Crore

(13)

Reference may also be made to the enclosed Notes and Instructions for compilation in relation to in the formats suggested.

Notes and Instructions for Schedules

Corpus/Capital Fund and Liabilities

1 - Corpus/Capital Fund

(a)

Corpus/Capital Fund is akin to Capital, Share Capital or Owners' Funds. It comprises amount received by way of contributions specifically to the Corpus, as increased/decreased by the net operating result shown in the Income and Expenditure Account (other than surplus, if any transferred to any Reserves or Earmarked Funds).

(b)

The Opening Balance, Additions to, Deductions from and Closing Balance of the Corpus/Capital Fund shall be shown under this head.

(c)

Additions to the Corpus Fund shall be net of transfers, if any, to any Reserve or Earmarked Fund required under statute or as per applicable regulations.

Notes and Instructions for Schedules

Corpus/Capital Fund and Liabilities

2 - Reserves and Surplus

1. CAPITAL RESERVES:

Opening Balance

Additions during the year

Deductions during the Year

The expression 'capital reserves' shall not include any amount regarded as free for distribution through the Income and Expenditure Account. Surplus on revaluation should be treated as Capital Reserve and shown separately. Surplus or translation of financial statements of foreign branches, if any, is not a revaluation reserve.

2. REVALUATION RESERVE:

Opening Balance

Additions during the year

Deductions during the Year

To reflect effects of

changing prices, fixed assets otherwise stated at historical costs, are revalued and the historical cost substituted by a revaluation, normally done by competent valuers. Such substitutions resulting in an upward revaluation is required to be shown as a "Revaluation Reserve".

This reserve is an unrealized gain and should not be credited as income in the Income and Expenditure Account.

3. SPECIAL RESERVES:

Opening Balance

Additions during the year

Deductions during the year

These would comprise Special reserves required to be created pursuant to any statutory or regulatory, requirement applicable to the Entity; and if so, should be clarified in the Notes on Accounts in Schedule 27.

4. GENERAL RESERVE:

Opening Balance

Additions during the year

Deductions during the year

The expression 'General Reserve' shall mean any reserve other than capital reserve and revaluation reserve. This item will include all reserves, other than those separately classified.

Note-General

(a)

Movements in various categories of reserves should be shown as indicated in the schedule.

(b)

The expression 'reserve' shall not include any amount written off or retained by way of providing for depreciation, renewals or diminution in value of assets or retained by way of providing for any known liability.

Notes and Instructions for the Schedules

Corpus/capital Fund and Liabilities

3 - Earmarked/Endowment Funds

Amount received as grants or assistance, or retained by the entity to be utilized for specific or earmarked purposes and remaining to be expended/utilized for the specific purpose for which these are intended, are required to be disclosed under this head. Such funds may be received in cash or kind from Government, Govt. agencies, institutions and other agencies etc. and are subject to compliance by the entity, or certain stipulated terms and conditions. For this reason, the balances available and their utilization should be disclosed in the manner suggested in the Schedule. The Plan funds

received from the Central and/or State Governments are to be shown as distinct category of Fund.

Other plan funds earmarked/endowed for any chair, house, building, Trust etc. are to be shown as distinct category of Fund.

The following shall not be reckoned as part of Earmarked Funds:

(a)

Grants/funds which have the characteristics of promoters' contribution which are of the nature of additions/ to the accretion Corpus Fund;

(b)

Funds/grants received by the Entity as compensation for expenditure/losses incurred in the earlier years, as these would be reckoned only in the Income and Expenditure Account for the year.

(c)

non-monetary grants by way of capital assets or other resources, corresponding credit of which is of the nature of capital reserve, unless such grants are specified as irrevocable contribution to the Corpus.

Notes - General

(a)

It is appropriate to ensure that the accretions to and utilization of earmarked funds is in accordance with the terms and conditions attaching to the same.

(b)

Earmarked Funds, considered their nature, are represented by specifically earmarked investments or other assets.

(c)

Plan Funds received from the Central/State Governments are to be shown as separate Funds and not to be mixed up with any other Funds.

(d)

Records relating to fixed assets acquired/constructed should be maintained for each earmarked fund. However, for the purpose of the annual financial statements disclosure may be made of the aggregate accumulated cost up to each year and of such fixed assets in respect of each fund, unless the assets are taken over and are incorporated in Schedule 8.

Corpus/Capital Fund and Liabilities

4 - Secured Loans and Borrowings

1.

2.

Central Government

State Government

Indicate the nature of security

and terms of repayment. Indicate the name of State Govt. and

nature of security and terms of repayment.

3.

Financial Institutions

Includes borrowings/refinance obtained from

Industrial Development Bank of India, export-Import Bank of

India, National Bank for Agriculture and Rural Development

(including liability against participation certificates, if any).

Normally these may be in the form of Terms Loans.

4.

Banks

(a) Term Loans

Includes

borrowings/refinance obtained from commercial banks (including

co-operative banks). Terms Loans need to be segregated from other facilities.

(b) Other Loans

5.

Other institutions and agencies

Includes institutions/agencies other than those mentioned above.

6.

Debentures and Bonds

The terms of redemption of debentures and bonds should be stated with the earliest date of their redemption.

Notes - General

(a)

Information shall be given in each case as regards the nature of security given.

(b)

Secured loans and borrowings shall be such as are against hypothecation/pledge/charge on the assets of the entity.

(c)

The aggregate amount of loans under each head, as are guaranteed by the Central/State Govt. may also be mentioned along with the fact that these are so guaranteed.

(d)

Loans and borrowings include refinance from institutions and agencies and liability against participation certificates.

(e)

Amount received by way of discount of debtors or receivables or rediscount of bills, shall not be shown as borrowings.

(f)

Interest accrued and due shall be included under each sub-head. Interest accrued but not due shall not be included under this head, but shall be shown as part of current liabilities.

(g)

Unreconciled inter-branch outstanding entries at credit should not be shown as borrowings.

(h)

Amount due within a period of less than 12 months as at the balance sheet date need to be disclosed.

Corpus/Capital Fund and Liabilities

5 - Unsecured Loans and Borrowings

1.

Central Government

Indicate the terms of repayment

2.

State Government(s)

Indicate name of the State Government and the terms of repayment.

3.

Financial Institutions

Includes borrowings obtained from Industrial Development Bank of India, Export-Import Bank of India, National Bank for Agriculture and Rural Development.

Normally these may be in the form of term loans, pending creation of a charge on assets, bridge loans may be given as 'unsecured' loans.

4.

Banks

Includes borrowings obtained from Commercial Banks (including Cooperative Banks)

Indicate the nature of facilities.

Overdrawn balances as per books do not constitute loans and generally arise due to cheques issued in excess of book balances. Such balances can be shown as loans only

where the entity enjoys or is granted overdraft facility.

5.

Other institutions and agencies

Includes loans from institutions/agencies other than those mentioned above.

6.

Debentures and Bonds

The terms of redemption of debenture and bonds should be state with the earliest date of their redemption.

7.

Fixed Deposits

These comprise deposits received from public or otherwise for fixed periods and against no security.

Notes - General

(a)

Unsecured loans and borrowings comprise amounts in respect of which no assets of the entity is charged as security or encumbered.

(b)

Interest accrued and due shall be included under each sub-head. Interest accrued but not due shall not be included under this head, but shall be shown as part of current liabilities.

(c)

Amount due within a period of less than 12 months as at the balance sheet date need to be disclosed.

Corpus/Capital Fund and Liabilities

6 - Deferred Credit Liabilities

(1)

Acceptances and other similar long-terms obligations contracted in respect of acquisition of assets, the liability for payment of which falls in periods longer than 12 months as at the date of the balance sheet should be included here.

(2)

If the assets are charged as security or encumbered corresponding to the liability, this fact should be stated.

(3)

If the acceptances are also guaranteed for repayment by the Government, any Govt. agency, bank, institution or other body/entity, this fact should also be stated.

(4)

Amount due within one year of the date of the balance sheet need to be separately disclosed.

Corpus/Capital Fund and Liabilities

7 - Current Liabilities and Provisions

A. CURRENT LIABILITIES

1.

Acceptances

Included under this sub-head would be the drawer's assent on bills of exchange to the order of the drawer.

2.

Sundry creditors

(a) For goods

(b) Others

The amounts to be shown against this sub-head shall comprise amounts owned by the entity in favour of others on account of goods purchased or services rendered or in respect of contractual obligations. These need to be segregated for goods' and shown separately.

3.

Advance received

The liability against this sub-head shall comprise amounts received in respect of which goods or services have yet to be supplied/rendered or for which value has yet to be given, and includes advance subscriptions.

4.

Interest accrued but not due

(a) Secured Loans/Borrowings

(b) Unsecured Loans/Borrowings

Includes interest accrued up to the year-end but not due secured/unsecured.

5.

Statutory Liabilities

(a) Overdue

(b) Others

These comprise

liabilities in terms of the Central/State laws governing the Entity; and includes unpaid liability for tax deducted at source under the Income Tax Act, 1961, Statutory bonus, provident fund, pension, gratuity, ESI interest to SSI Units on their overdue, sales tax, exercise, Costume duty, and other statutory levies. Overdue liabilities are undisputed amounts which are due and remain unpaid beyond the normal due date/stipulated period i.e. those are in default.

6.

Other Current Liabilities

These would include amounts not covered by the other sub-heads. Any material amount included under this sub-head may be separately shown indicating the nature thereof.

|| Overdrawn bank balances as per books, where the entity does not have any sanctioned limits/overdraft facilities, shall also be included under this sub-head, or separately disclosed as "Overdrawn bank balances in excess of book balances".

Note-General

A Current Liability is one which falls due for payment within a relatively short period, normally not more than 12 months.

B. PROVISIONS

1.

For Taxation

Provision needs to be made and retained based on the status of Tax matters as at the year-end.

2.

Gratuity

Provision for liability towards gratuity payable on death/retirement of employees needs to be accrued on actuarial basis, and provided up to the year-end.

3.

Superannuation/Pension

Provision for liability payable towards superannuation of employees be accrued on actuarial basis, and provided up to the year end.

4.

Accumulated Leave

Provision for liability towards accumulated leave encashment of employees needs to be accrued on actuarial basis, and provided up to the year-end.

5.

Trade Warranties/Claims

Where the entity is manufacturing/processing goods for sale, it may be liable to trade warranty risks, which need to be provided for on a reasonable/rational basis.

6.

Others

These need to be specified, and shall not include provisions for doubtful debts/advances, which shall be reduced from the relevant asset heads.

Notes-General

Provision is an amount written off or retained by way of providing for depreciation or diminution in the value of assets, or retained by way of providing for a known liability, the amount of which cannot be determined with substantial accuracy.

ASSETS

SCHEDULE 8 - FIXED ASSETS:

1.

LAND

Where immovable properties are purchased/acquired by paying a composite cost, a reasonable/reliable estimate should be made of the land cost and shown separately.

(a) freehold

(b) Leasehold

Leasehold land should be amortised over the period of lease unless the lease is in perpetuity.

2.

BUILDINGS

(a) On freehold land

As far as practicable, distinction may be made between factory and office buildings for purposes of provision for depreciation at different rates.

(b) On leasehold land

Buildings/premises shall be those which are intended to be wholly/partly used for the purposes of the activities of the Entity and would not include "Investment Properties."

(c) Ownership Flats/Premises

Superstructures on leasehold lands should be depreciated to be co-terminus with the amortization of land, unless the superstructures have a shorter life.

(d) Superstructures on Land Not belonging to the Entity
Buildings shall include roads, bridges, and culverts.

3.

PLANT, MACHINERY & EQUIPMENT

included under this Sub-head would be items like :

- Earth moving Machinery
- Boilers
- Furnaces
- Generators
- Dyes/Mould
- Machinery used for specific industry/services like Building contractors, in hospitals/clinics, processing units, hydraulic works (including pipelines), Tool rooms.
- Other items used for manufacture/processing etc.

Separate Account heads should be maintained in the ledgers and kept reconciled with the Fixed Assets registers. Disclosure of information under the above sub-heads is encouraged.

4.

VEHICLES

included under the Sub-head would be items like :

- Tractors/Trailers
- trucks, Jeeps and Vans
- Motor Cars
- Motor Cycles, Scooters, Three Wheelers and Mopeds
- Rickshaws

Separate Account heads should be maintained in the ledgers and kept reconciled with the Fixed Assets registers. Disclosure of information under the above sub-heads is encouraged.

5.

FURNITURE, FIXTURES

included under this Sub-head would be items like :

- (a) Cabinets/Almirahs/Filing Racks
- (b) Air-Conditioners/Air Conditioning Plant
- (c) Air Coolers
- (d) Water Coolers
- (e) Tables/Chairs/Sofas/Carpets
- (f) Wooden partitions/temporary structures
- (g) Voltage Stabilisers, UPS Systems.
- (h) Other Items

Separate Account heads should be maintained in the ledgers and kept reconciled with the Fixed Assets registers. Disclosure of information under the above sub-heads is encouraged, for material amounts.

6.

OFFICE EQUIPMENT

included under this Sub-head would be items like :

- (a) Typewriters
- (b) Photocopiers/duplicators
- (c) Fax Machines

Separate account heads should be maintained in the ledgers and kept reconciled with the Fixed Assets registers. Disclosure of information under the above sub-heads is encouraged, for material amounts.

7.

COMPUTER/PERIPHERALS

Computers, Printers and their peripherals like the Floppies, CDs, Software etc. would be the items under this head.

Separate Account heads should be maintained in the ledgers and kept reconciled with the Fixed Assets registers.

Disclosure of information under the above sub-heads is encouraged, for material equipment.

8.

ELECTRIC INSTALLATIONS

included under this Sub-head would be terms like :

- (a) Electrical Machinery
- (b) Electric Lights/Fans
- (c) Switch Gear instruments
- (d) Transformers
- (e) Electric Wiring and fittings

Separate Account

heads should be maintained in respect of the above items and kept reconciled with the Fixed Assets registers. Disclosure of information under the above sub-heads is encouraged, for material amounts.

9.

LIBRARY BOOKS

In some cases the number of Library Books could be very large of there may be an established Library. In such cases these books may be disclosed as a separate category of assets. Library books will include books/journals/information stored in CD ROMs.

10.

TUBEWELLS & W. SUPPLY SYSTEM

Tubewells and Water Supply Systems may be shown as a distinct category.

11.

CAPITAL WORK-IN-PROGRESS

Fixed assets in the course of construction should be shown against this head till they are ready for their intended use. Plant, machinery and equipment acquired and pending installation should be included here.

Notes - General

1. Fixed Assets are those assets which are held with the intention of being used for the purpose of producing or providing services and not held for sale in the normal course of trade.

2. Under each sub-head should be shown :

- (a) the cost or the valuation as at the beginning of the year.
- (b) additions during the year (both acquisitions and by way of grants)
- (c) deductions (including sales, disposals, write-offs) during the year.
- (d) the total cost/valuation as at the year-end.
- (e)

depreciation up to the previous year-end, that on additions/deductions during the year and the total accumulated depreciation up to the year end.

(f)

the net block to the assets as at the year-end.

3. The accounting policy relating to accounting for fixed assets acquired (including by way of grants or at concessional rates), or constructed should be disclosed along with the method adopted for depreciation/amortization.

4. Where sums have been written up or any assets due to their revaluation, the basis thereof should be disclosed; and every balance sheet after the first Balance Sheet subsequent to the revaluation should show the revised figures for a period of five years with the date and amount of revision.

5. Where grants relating to specific fixed assets are received and these are equal to the whole or virtually the whole of the cost of the asset, the Fixed assets should be shown in the Balance Sheet at a nominal value.

Alternatively; grants relatable to depreciable fixed assets may be treated as deferred income and recognized in the Income and Expenditure Account on a systematic and rational basis over the useful life of such assets i.e. such grants should be allocated to income over the periods and in the proportions in which depreciation is charged.

Grants relatable to non-depreciable assets should be credited to "Capital Reserve", unless there are pre-conditions requiring fulfilment.

6. Depreciation

Depreciation shall be provided so as to charge the depreciable amount of a depreciable asset over its useful life.

Depreciation is a measure of the wearing out, consumption or other loss of value of a depreciable asset arising from use, effluxion of time or obsolescence through technology and market charges. It includes amortization of assets the useful life of which is determined and depletion of wasting assets.

For this purpose :

(a)

Depreciable asset means an asset which -

i. is expected to be used during more than one accounting period, and

ii. has a limited useful life; and

iii. is held by the entity for use in the production or supply of goods and services, for rental to others, or for administrative purpose and not for the purpose of sale in the ordinary course of its business/operating activities.

(b)

depreciable amount of a depreciable asset means its original cost, or other amount substituted for original cost in the financial statements less the residual value.

(c)

Useful life means either -

i. the period over which a depreciable asset is expected to be used by the Entity, or

ii. the number of production or similar units expected to be obtained from the use of the asset by the Entity.

SCHEDULE 9 - INVESTMENTS - FROM EARMARKED/ENDOWMENT FUNDS :

1.

Government Securities

Includes Central and State government

securities and Government Treasury Bills. These securities should be shown at cost/book value. However, the difference between such value and market value should be given in the notes to the Balance Sheet.

2.

Other approved Securities

Securities other than Government Securities, treated as approved securities (such as Trustee securities), should be included here.

3.

Shares

Investments in shares of companies and

corporations not included in item 2 should be included here.

4.

Debentures and Bonds

Investments in debentures and bonds of companies and Corporations not included in item 2 should be included here.

5.

Subsidiaries and/or joint ventures

Investments in subsidiaries/associate entities should be included here. An entity shall be treated as a 'subsidiary' or joint venture, if the entity exercises control over the composition of management/governing body, with or without any financial investment therein.

An entity will be considered as subsidiary for the purpose of this classification if more than 25% of the corpus of that entity is held by the entity as at the beginning of the year.

6.

Others (to be specified)

Includes residual investments, if any, like commercial paper, investments (to be specified) in Mutual Funds and other instruments not being in the nature of shares/debentures/bonds. Investment in Properties, if any, would also be included here.

Notes-General

1. The Gross value in aggregate, the depreciation in aggregate and net value of Investments are to be separately disclosed. Approved securities (covered by 1 and 2 above) are required to be bifurcated into "permanent" and "current" categories for valuation and determination of shortfall in value.

2. (a) Investments can either be "Long term" or "permanent" or "Current".

(b)

"Current Investment" means an investment which is by its very nature, readily realizable and is intended to be held for not more than one year from the date on which it is made.

Such investments should be shown at lower of cost or their fair value, which shall be determined on individual investment basis and the shortfall shall be provided, while appreciation shall be ignored.

(c)

Long-term investments are those investments which are other than current investments, and these are intended to be held for the purposes of capital appreciation and yield.

Such investments are held at cost and shall be reduced when there is a decline, other than temporary, in their value-reduction being made for each investment.

3. Investment held against earmarked/endowment funds need to be separately disclosed.

4. Investment in properties, if held, shall be shown at cost less depreciation in the same manner as in the case of fixed assets.

5. The entity shall disclose the Accounting Policy in relation to investments, their cost, depreciation and carrying value - both for long-term & current investments.

6. Any premium paid on acquisition of permanent investments shall be amortised on a time proportion basis upto the date of their maturity. Discount on acquisition shall not be amortised.

SCHEDULE 10-INVESTMENT-OTHERS :

1.

Government Securities

Includes Central and State Government securities and Government Treasury Bills. These securities should

be shown at cost/book value. However, the difference between such value and market value should be given in the notes to the Balance sheet.

2.

Other approved Securities

securities other than Government Securities, treated as approved securities (such as Trustee securities). should be included here.

3.

Shares

Investments in shares of companies and corporations not included in item 2 should be included here.

4.

Debentures and Bonds

Investments in debentures and bonds of companies and Corporations not included in item 2 should be included here.

5.

Subsidiaries and joint ventures

Investments in subsidiaries/associate entities should be included here. An entity shall be treated as a 'subsidiary' or joint venture, if the entity exercise control over the composition of management/governing body, with or without any financial investment therein.

An entity will be considered as subsidiary for the purpose of this classification if more than 25% of the corpus of that entity is held by the entity as at the beginning of the year.

6.

Others

Includes residual investments, if any, like commercial paper, investments (to be specified) in Mutual Funds and other instruments not being in the nature of shares/debentures/bonds. Investment in Properties, if any, would also be included here.

Notes-General

1. The Gross value in aggregate, the depreciation in aggregate and net value of Investments are to be separately disclosed. Approved securities [covered by 1 and 2 above] are required to be bifurcated into "permanent" and "current" categories for valuation and determination of shortfall in value.

2. (a) Investments can either be "Long term" or "permanent" or "Current".

(b)

"Current Investment" means an investment which is by its very nature, readily realizable and is intended to be held for not more than one year from the date on which it is made.

Such investments should be shown at lower of cost or their fair value, which shall be determined on individual investment basis and the shortfall shall be provided, while appreciation shall be ignored.

(c)

Long-term investments are those which are other than current investments and these are intended to be held for the purposes of capital appreciation and yield.

Such investments are held at cost and shall be reduced when there is a decline, other than temporary, in their value-reduction being made for each investment.

3. Investments held against earmarked/endowment funds are disclosed in Schedule 9.

4. Investment in Properties, if held, shall be shown at cost less depreciation in the same manner as in the case of fixed assets.

5. The entity shall disclose the Accounting Policy in relation to investments, their cost, depreciation and carrying value - both for long-term and current investments.

6. Any premium paid on acquisition of permanent investments shall be amortised on a time proportion basis upto the date of their maturity. Discount on acquisition shall not be amortised.

7. Matured investments, not realized may be separately disclosed.

SCHEDULE 11 - CURRENT ASSETS, LOANS, ADVANCES ETC:

A. CURRENT ASSETS

1.

Inventories

Inventories comprise tangible property held for sale in the ordinary course of business, or in the process of production of such sales, or for consumption in the process of production of goods or services for sale, including maintenance supplies and consumable other than machinery parts.

(a) Stores and Spares

(b) Loose Tools

(c) Stock-in-trade

Basis of valuation of inventories should be disclosed.

-Finished Goods

Finished goods would include goods purchased/produced and lying in hand at all loans of the entity

-Work-in-progress

-Raw Materials

Raw Materials would also include parts or components used or consumer in the process of production of goods for sale.

2.

Sundry Debtors :

Debtors comprise person from whom amounts are due for goods sold or services rendered or in respect of contractual obligation.

(a) Debts Outstanding for a period exceeding six months

(b) Others

Debts considered good for recovery and those considered doubtful shall be shown separately. Provision for doubtful debts, if made, should be shown as a reduction from the amount of debts considered doubtful.

3.

Cash balance in hand :

(including cheques/drafts and imprest:)

4.

Bank Balances :

Amount held as bank balances against earmarked/endowment funds should be separately disclosed.

(a) With Scheduled Banks

- On Current Accounts

- On Deposit Accounts (including margin money)

Where any deposit accounts are pledged or charged as security or are encumbered, the fact should be disclosed.

- On Saving Accounts

Overdue/Matured Deposits should be separately disclosed.

(b) With Non-Scheduled Banks

- On Current Accounts

- On Deposit Accounts (including margin money)

- On Saving Accounts

5.

Post Office-Savings Accounts :

ASSETS

SCHEDULE 11 - CURRENT ASSETS, LOANS, ADVANCES ETC.:

B. LOANS, ADVANCES AND OTHER ASSETS

1.

Loans

Loans and Advances as are considered good and recoverable should be disclosed. Doubtful amounts, if any, should be stated under each sub-head, and provision if made, should be shown as a reduction therefrom

(a) Staff

Interest accrued on interest bearing staff

loans should be accounted notwithstanding that actual recoveries of interest might commence after repayment of principal.

(b) Other entities engaged in activities/objectives similar to that of the entity

Irrevocable grants/subsidies/donation to such entities shall not be included here. If interest-bearing, the amount of interest earned up to year-end should be adjusted.

(c) Other (specify)

2.

Advances and other amounts recoverable in cash or in kind or for value to be received :

(a) On Capital Account

Advances to suppliers/contractors for capital works should be shown against this sub-head

(b) Prepayments

This includes prepaid expenses.

(c) Others

Both 'Income accrued and due' and 'income accrued but not due' up to the year-end should be included under this head.

3.

Income accrued :

(a) On Investments from Earmarked/Endowment Funds

(b) On Investments-Others

Income on Investment from Earmarked/Endowment Funds and that on Other Investment should be shown separately.

(c) On Loans and Advances

(d) Others (includes income due unrealized-Rs.)

If uncertainty attaches to realization or

ultimate collection, income should not be recognized, and if recognized, should be provided for. Dividends should be recognized based on the date(s) of their declaration.

Separate disclosure should be made in respect of income accrued, due but not realized.

4.

Claim receivable :

Only claims, which are considered good and realizable, should be included.

INCOME AND EXPENDITURE

ACCOUNT-INCOME

SCHEDULE 12 - INCOME FROM SALES/SERVICES

INCOME FROM SALES :

1.

Income from Sales

(a) Sale of finished Goods

(b) Sale of Raw materials

Sales comprise the aggregate amount for which sales are effected. These would be shown net of trade discounts, rebate and returns.

(c) Sale of Scraps

Sales are complete when significant risks and regards of ownership get transferred from the seller to the buyer, irrespective of the time of payment or delivery of the goods.

Disclosure of export sales should be made separately.

2.

Income from Services

Income must be shown at gross figures and Tax

Deducted at Source should be indicated separately.

(a) Labour and Processing Charges

Labour and processing charges realizable for processing/fabrication of goods/materials of other entities should be disclosed against this sub-head.

(b) Professional/consultancy Services

Consultancy Charges and fee for rendition of professional services by the entity should be included under this sub-head.

(c) Agency Commission and brokerage

Where the entity acts as a broker or agent for arranging supply of goods/services of others, i.e. without acting on a principal to principal basis, the commission and brokerage income earned would be shown against this sub-head.

(d) Maintenance Services (Equipment/Property)

Where the entity undertakes maintenance contracts for equipment or property etc. the income earned up to the year-end from this source should be included under this sub-head.

(e) Other (Specify)

SCHEDULE 13 - GRANTS/SUBSIDIES :

(irrevocable Grants & Subsidies Received)

1.

Central Government

Grants, Subsidies or other similar assistance received for the general purposes and objectives of the Entity, on an irrevocable basis, or to cover expenditure incurred in prior periods, shall be included in this Schedule.

2.

State Government(s)

3.

Government Agencies

These grants etc. are without any conditions attached as to their utilization and are of the nature of non-refundable amounts which are to be appropriated to income.

4.

Institutions/Welfare Bodies

5.

International Organisations

The gross receipt shall be shown against each sub-head, and grants/subsidies which are given in turn to other institutions/organisations on irrevocable basis as expenditure should be considered in Schedule 22.

6.

Others (Specify)

SCHEDULE 14 - FEES/SUBSCRIPTIONS

1.

Entrance fees

Accounting policies on each item will have to be disclosed.

2.

Annual Fees/subscriptions

In case the Fees like Entrance Fee, subscriptions etc. are in the nature of capital receipt, such amount should go to the Corpus Fund/Capital Fund. Otherwise such fees will be incorporated in this schedule.

3.

Seminar/Program Fees

4.

Consultancy Fees

In case the major activities of the Entity are to organize seminar/workshop and/or provide consultancy service, such income should form part of the Schedule 12.

5.

Others (Specify)

The gross receipts should be shown here.

Expenditure incurred on seminar/workshops, consultancy etc. should be shown as other administrative expenses' in the schedule

21.

SCHEDULE 15 - INCOME FROM INVESTMENTS

1.

Interest

1.

Income from investments shall be disclosed at

gross figures and tax deducted at source is to be stated separately.

(a) On Govt. Securities

2.

Interest on Govt. securities shall comprise

(a) interest earned at coupon rate upto the last applicable date of interest, i.e. interest accrued & due; and

(b) interest accrued thereafter upto the year-end at the coupon rate

(b) Other Bonds/Debentures

3.

Income on bonds and debentures would include

discount accrued upto the year-end on bonds issued at a discount, to be redeemed at par or on premium, based on the terms of their issue.

2.

Dividends

4.

Dividends shall be accrued, based on the dates on which declaration thereof i.e. when the entity has a right to receive the same.

(a) on Shares

(b) on Mutual fund Securities

3.

Rents

5.

Rents shall be shown as income on Investment of properties, if any

4.

Others (Specify)

6.

Interest claimed on overdue/matured investments shall not be recognized unless pre-conditions for such recognition are satisfied.

7.

Distinction should be made in respect of income on Investments :

(a) Owned by the Entity; and

(b) those held against earned/endowment funds.

8.

At the year-end total of the income of investment from earmarked/endowment funds should be transferred to the funds through Schedule 3.

SCHEDULE 16 - INCOME FROM ROYALTY, PUBLICATION ETC :

1.

Income from Royalty

Accounting policies on each item will have to be disclosed.

2.

Income from Publications

In case the major activities of the Entity are to publish books, journals, documents etc. such income should

form part of the Schedule 12.

3.

Other (Specify)

The gross receipts should be shown here.

Expenditure incurred on publication etc. should be shown as other administrative expenses' in the schedule 21.

SCHEDULE 17 - INTEREST EARNED

1.

On Term Deposits :

1.

interest income earned should be shown a gross figures and tax deducted at source is to be stated separately.

(a) With Schedules Banks

(b) With Non-Scheduled Banks

(c) With Institutions

(d) Others

2.

On Saving Accounts :

2. Distinction should be made in respect of income;

(a) With Schedules Banks

(a) on assets owned by the Entity; and

(b) With Non-Schedules Banks

(b) those held against earmarked/endowment funds;

(c) Post Office Savings Accounts

(d) Others

3.

Loans :

(a) Employees/Staff

(b) Others

4.

Interest on Debtors & Other Receivables

SCHEDULE 18 - OTHER INCOME:

1.

Profit on Sale/disposal of Assets

Sales proceeds/realization, net of the book

value of the assets shall, if a surplus, be included under this sub-head.

(a) Owned assets

(b) Assets acquired out of grants or received free of cost

2.

Export incentives realized

Export incentives claimed and no realized upto the year-end shall not be included in Income.

3.

Fees for Miscellaneous Services

Items of materials amounts included in

Miscellaneous Income should be separately disclosed.

4.

Miscellaneous Income

SCHEDULE 19 - INCREASE/(DECREASE) IN STOCK OF FINISHED GOODS & WORK-IN-PROGRESS :

(a) Closing stock

Accounting policies regarding valuation of stock should be declared.

-Finished goods

-Work-in-progress

(b) Less : Opening Stock

-Finished goods

-Work-in-progress

SCHEDULE 20 - ESTABLISHMENT EXPENSES :

(a) Salaries and wages

The gross expenditure against each head including in respect of staff on deputation should be disclosed.

(b) Allowances and Bonus

(c) Contribution to Provident Fund

(d) Contribution to other fund (specify)

Statutory obligations of the entity towards provident fund, Employees' state insurance, retirement benefits etc. should be disclosed clearly and item-wise.

(e) Staff Welfare expenses

(f) Expenses on employees' Retirement and terminal Benefits

In case of recoveries like fines, penalties etc. the same should not be deducted from the expenses heads but included under 'Other Income' in the Schedule 18.

(g) Others (specify)

Notes-General

Prior period items

Prior period and Extraordinary items shall be separately disclosed so that the effect thereof on the net expenditure for the year is known.

SCHEDULE 21 - OTHER ADMINISTRATIVE EXPENSES ETC.

(a) Purchase*

The gross expenditure against each head should be disclosed

(b) Labour and processing expenses

(c) Cartage and Carriage Inwards

In case of recoveries e.g. rent recoveries, freight charges recovered, fines, penalties, damages from suppliers etc. the amount of such recoveries should not be deducted from the expenses heads but included under "Schedule 16". "Other Income,"

(d) Electricity and Power

(e) Water charges

(f) Insurance

(g) Repairs and maintenance

(h) Excise Duty

Prior period and Extraordinary Items shall be separately disclosed so that the effect thereof on the net Expenditure for the year is known.

(i) Rent, Rates and Taxes

(j) Vehicles running and Maintenance

(k) Postage, Telephone and Communication Charges

The list of heads is not exhaustive but illustrative. As far as possible only these heads of account

should be used unless there is compelling reasons to add or delete any of these heads.

(l) Printing and Stationery

(m) Travelling and Conveyance Expenses

(n) Expenses on Seminar/Workshops

*Purchases should be segregated between raw materials and stores for manufacture and for finished goods traded in. In case of manufacturing entities, 'Consumption of Raw Materials' and 'Stores' may be given instead of 'Purchases'.

(o) Subscription Expenses

(p) Expenses on Fees

(q) Auditors Remuneration

(r) Hospitality Expenses

(s) Professional Charges

(t) Provision for Bad and Doubtful debts/Advances

(u) Irrecoverable Balances Written-off

(v) Packaging Charges

(w) Freight and Forwarding Expenses

(x) Distribution Expenses

(y) Advertisement and Publicity

(z) Others (specify)

INCOME AND EXPENDITURE ACCOUNT - EXPENDITURE

SCHEDULE 22 - EXPENDITURE ON GRANTS, SUBSIDIES ETC.

(a) Grants given to Institutions/Organisations

Grants, Subsidies or other similar assistance given to the Institutions/Organisations for general purposes and objectives for the Entity, on an irrevocable basis, shall be included in this Schedule.

Name of the Institutions/Organisations, their activities along with the amounts in each case should be disclosed.

(b) Subsidies given to Institutions/Organisation

These grants etc. are with or without any conditions attached as to their utilization and are of the nature of non-refundable amounts which are to be appropriated as expenditure.

The gross receipts shown against each sub-head in the Schedule 13, could be the sources of the grants/subsidies that are given, in turn, to other institution/organisation on irrevocable basis.

The gross expenditure against each head should be disclosed.

INCOME AND EXPENDITURE ACCOUNT - EXPENDITURE

SCHEDULE 23 - INTEREST :

(a) On Fixed Loans

1.

Interest would include commitment charges.

(b) On Other Loans (including Bank Charges)

2.

Fixed Loans are loans which are for fixed period, like Term Loans

(c) Others (specify)

3.

Expenditure by way of interest as per Schedule

23 is the minimum disclosure requirement. The Entity should be encouraged to disclose interest expended asked on the sources of loans and borrowings as per the heads in Schedules 4 and 5.

SCHEDULE 26 - CONTINGENT LIABILITIES, AND NOTES AND ACCOUNTS

A. CONTINGENT LIABILITIES

1. Claims against the Entity not acknowledged as debts

2. Liability of party-paid investments

Liability on partly paid shares, debentures etc. is required to be stated.

3. liability on account of outstanding forward exchange contracts

Amount of outstanding forward exchange contracts at the exchange rates applicable as at the year-end should be stated.

4. Guarantees and Letters of credit outstanding

Liability towards Guarantees given by the entity or on its behalf and Letter of Credis outstanding as at the year-end are required to be disclosed.

5. Bills discounted

Bills discounted outstanding as at the year-end need to be disclosed.

6. Other items for which the entity is contingently liable

Included here would be disputed statutory and other demands/claims, Bills rediscounted, commitments under underwriting contracts and other items for which the entity is contingently liable.

B. NOTES ON ACCOUNTS

1. Commitment on capital Account not provided for

This would in terms of contracts/arrangements in terms of which amounts would have to be paid for acquisition/construction of assets. The amount, net of advances is required to be disclosed.

2. Other Notes

Related AI tags, queries and research notes

Translation